T-12 OPERATING STATEMENT

Amberly Suites | Birmingham, AL

Property	Amberly Suites
Period Ending	September 9, 2023
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	81 guest rooms

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	158,200	160,987	161,305	144,844	164,303	153,105	164,097	163,759	152,475	162,714	163,283	150,086	1,899,158
4010 Loss to Lease	130,761	140,090	123,483	136,314	135,334	126,874	138,363	130,157	137,990	132,612	131,295	139,421	1,602,696
4020 Vacancy Loss	117,759	117,375	104,779	108,233	115,005	109,263	116,608	104,501	116,665	106,494	113,558	103,692	1,333,931
4030 Concessions	136,486	143,699	140,460	139,051	139,194	143,007	132,206	128,895	136,737	128,585	134,244	145,215	1,647,780
4040 Bad Debt	90,271	91,006	90,842	85,464	85,054	82,534	86,070	81,975	91,190	80,921	80,940	90,465	1,036,733
4050 Late Fees	39,953	39,226	40,159	40,100	38,313	37,105	38,596	40,976	38,861	42,181	41,790	41,118	478,378
4060 Utility Reimbursements	26,445	25,280	25,231	24,139	24,633	24,927	23,788	24,652	25,690	26,029	23,892	26,315	301,022
4070 Parking Income	104,383	101,665	93,693	99,601	95,638	107,127	101,479	93,699	103,692	105,549	95,662	98,092	1,200,280
4080 Application Fees	20,424	19,663	19,550	20,182	21,651	21,806	21,875	20,169	21,184	20,459	19,971	19,619	246,555
4090 Pet Rent	134,086	145,732	139,838	134,092	138,165	133,672	130,667	127,785	146,647	136,457	143,162	138,122	1,648,427
4100 Laundry Income	82,750	85,643	78,524	76,925	85,286	77,824	80,461	85,309	80,360	83,381	79,039	79,214	974,718
4110 Cable/Internet Revenue	22,889	21,829	24,533	22,428	22,869	23,291	24,110	22,037	22,308	21,554	22,848	21,676	272,370
4120 CAM Reimbursements	24,351	22,276	23,951	21,962	24,471	23,176	21,644	23,439	24,611	22,514	24,264	23,559	280,218
4130 Tax Reimbursements	88,446	87,295	88,911	90,018	81,285	87,242	84,006	87,696	82,652	87,302	83,950	83,832	1,032,635
4140 Insurance Reimbursemen	20,190	21,296	21,047	19,907	21,065	21,776	20,966	21,700	20,320	19,358	19,191	21,841	248,656
4150 Percentage Rent	106,574	117,594	121,090	112,487	120,089	115,927	121,223	109,328	115,394	106,157	109,277	110,469	1,365,610
4160 Misc. Income	46,952	46,584	45,790	43,004	46,632	45,378	44,558	46,512	45,029	46,904	46,521	43,666	547,529
4170 Payroll - Management	16,534	18,398	16,760	17,241	16,898	16,714	18,382	18,524	16,967	17,398	17,902	17,411	209,130
4180 Payroll - Leasing	5,162	5,333	4,886	5,428	4,919	5,373	5,010	5,307	5,221	4,780	5,312	5,171	61,902
4190 Payroll - Maintenance	3,958	3,777	3,783	4,003	3,829	3,994	4,118	3,960	3,699	3,920	3,821	3,610	46,472
4200 Payroll Taxes & Benefits	16,890	17,378	16,774	17,342	16,489	18,481	18,229	16,755	16,911	16,558	16,591	17,988	206,386
4210 Repairs - Plumbing	16,102	17,760	15,583	16,561	17,558	16,687	16,935	16,840	16,609	15,595	17,325	16,464	200,020
4220 Repairs - HVAC	4,113	4,226	4,085	4,103	4,527	4,472	4,374	4,078	4,055	4,304	4,308	4,388	51,033
4230 Repairs - Electrical	8,390	8,110	8,563	8,702	9,141	9,214	8,534	8,245	9,119	9,202	8,620	8,747	104,587
4240 Repairs - Appliances	10,138	9,371	9,505	9,811	9,673	9,395	9,728	9,548	9,821	9,531	9,721	9,804	116,044
4250 Painting & Decorating	11,687	11,118	10,954	10,806	11,416	11,232	11,778	11,665	11,072	11,350	10,514	10,520	134,113
4260 Flooring	13,777	12,537	13,592	13,003	13,800	13,723	13,476	12,614	13,223	13,527	13,329	12,871	159,473

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	3,318	3,423	3,655	3,305	3,316	3,244	3,504	3,536	3,650	3,634	3,372	3,368	41,324
4460 Management Fee	3,670	3,985	3,940	4,006	3,553	3,827	3,543	3,936	3,606	3,987	3,916	3,814	45,784
4470 Property Insurance	5,451	5,897	6,043	5,545	5,711	5,493	5,970	5,613	5,917	5,702	5,893	5,652	68,886
4480 Real Estate Taxes	1,744	1,874	1,716	1,880	1,870	1,718	1,669	1,837	1,796	1,677	1,702	1,647	21,130
4490 Asset Management Fee	11,968	12,545	11,590	12,448	12,095	11,802	13,034	13,082	11,581	12,828	12,227	12,152	147,352
4500 Replacement Reserves	15,273	15,459	14,836	15,013	16,111	14,565	15,500	15,877	14,119	14,495	15,398	14,596	181,242
4510 Roof Repairs	18,164	18,660	17,361	17,155	19,544	17,209	18,544	18,975	18,052	18,175	17,595	18,825	218,258
4520 Parking Lot Repairs	14,851	15,399	15,247	15,354	14,440	14,235	15,346	14,875	14,545	15,268	14,075	14,569	178,204
4530 Signage	5,506	5,086	5,052	5,146	4,848	4,866	4,916	5,233	5,375	5,104	4,946	5,066	61,145
4540 Tenant Improvements	7,633	7,529	7,678	7,805	7,695	7,388	7,745	7,708	7,969	7,871	7,886	7,116	92,022
4550 Leasing Commissions	2,834	2,826	2,530	2,686	2,796	2,703	2,851	2,667	2,684	2,731	2,698	2,510	32,515
4000 Gross Potential Rent	151,214	164,583	152,918	160,178	156,908	151,492	145,390	164,915	150,863	147,925	150,170	154,401	1,850,958
4010 Loss to Lease	35,883	38,073	37,357	36,467	36,829	34,913	36,293	38,685	35,235	34,824	38,113	38,586	441,258
4020 Vacancy Loss	90,614	87,780	83,657	90,019	84,124	86,000	80,762	87,469	81,796	80,280	83,919	80,747	1,017,165
4030 Concessions	44,365	47,610	42,263	42,563	44,961	42,872	43,233	43,254	46,398	43,908	45,306	42,335	529,067
4040 Bad Debt	75,852	72,924	76,942	74,810	76,431	70,464	68,758	69,796	70,442	70,191	71,845	70,179	868,634
4050 Late Fees	82,947	85,527	76,377	75,396	80,513	82,259	76,833	83,642	80,080	82,909	77,540	77,641	961,664
4060 Utility Reimbursements	105,023	107,217	106,650	101,547	96,544	100,052	106,313	103,818	107,351	95,294	99,088	107,263	1,236,159
4070 Parking Income	47,560	47,482	44,257	46,905	48,752	48,082	45,489	43,442	46,794	46,871	46,684	44,355	556,674
4080 Application Fees	125,577	129,596	125,122	124,916	134,265	123,476	130,117	129,152	126,154	130,450	124,730	137,530	1,541,083
4090 Pet Rent	52,613	57,272	53,510	56,619	58,453	58,133	58,984	55,501	54,281	51,896	57,758	53,749	668,769
4100 Laundry Income	95,215	96,647	87,993	87,293	89,311	90,578	91,101	88,223	98,209	89,727	90,118	89,889	1,094,304
4110 Cable/Internet Revenue	133,997	125,827	139,354	141,987	128,525	143,785	142,605	127,136	134,166	140,159	143,761	140,629	1,641,930
4120 CAM Reimbursements	59,308	56,986	52,538	56,415	55,027	52,746	53,715	59,392	53,301	54,210	54,127	57,226	664,994
4130 Tax Reimbursements	85,866	78,103	80,429	85,358	80,333	81,036	82,080	76,911	75,937	83,108	84,426	75,804	969,391
4140 Insurance Reimbursemen	90,672	83,545	88,682	92,018	85,435	85,351	85,982	82,584	90,239	80,841	86,048	91,048	1,042,444
4150 Percentage Rent	2,842	3,036	2,935	2,981	3,188	2,852	3,199	2,982	3,009	2,820	3,174	3,178	36,196
4160 Misc. Income	130,103	123,199	125,567	115,346	118,164	129,744	116,166	115,452	125,187	129,013	128,845	120,225	1,477,010
4170 Payroll - Management	15,852	16,636	16,138	16,770	15,658	16,831	15,598	17,336	17,382	15,723	16,811	17,698	198,433
4180 Payroll - Leasing	6,160	6,122	5,922	6,317	6,039	6,072	6,168	5,934	6,108	6,301	6,067	6,043	73,254
4190 Payroll - Maintenance	16,772	15,439	16,358	15,690	16,568	16,721	15,107	15,231	14,911	16,569	14,975	16,738	191,080
4200 Payroll Taxes & Benefits	12,221	12,918	12,549	12,393	13,167	12,742	13,227	13,154	13,188	13,527	13,435	12,990	155,509
4210 Repairs - Plumbing	15,165	14,610	15,162	15,001	15,337	13,540	14,327	14,030	15,036	14,671	14,339	13,595	174,813
4220 Repairs - HVAC	7,852	7,410	7,407	7,639	7,927	7,997	7,609	7,488	7,841	7,341	7,293	7,859	91,665
4230 Repairs - Electrical	6,303	6,296	6,331	6,327	6,351	6,721	6,660	6,048	6,673	6,452	6,207	6,063	76,431
4240 Repairs - Appliances	4,411	4,908	4,986	4,841	4,804	4,739	4,472	4,621	4,737	4,731	4,820	4,390	56,459
4250 Painting & Decorating	16,209	17,150	16,254	16,291	16,084	16,393	16,355	17,829	15,945	16,136	16,434	17,000	198,081
4260 Flooring	16,387	15,806	16,020	15,901	15,347	16,560	15,730	14,787	15,915	16,085	15,603	16,670	190,811
4270 Make-Ready / Turnover	15,001	14,613	14,695	14,798	14,616	15,770	16,201	15,410	15,224	14,356	15,523	14,877	181,083
4280 Landscaping Contract	9,774	9,910	9,728	10,302	9,968	9,211	9,693	9,588	9,119	9,274	9,459	9,887	115,914
4290 Snow Removal	8,426	8,539	8,479	7,578	8,250	7,838	8,621	8,446	8,311	7,727	8,415	7,831	98,461
4300 Janitorial	3,225	3,011	2,977	3,335	3,126	3,008	3,342	3,146	3,380	3,341	3,087	2,986	37,965
4310 Pest Control	14,793	16,296	14,936	16,293	15,049	16,039	14,784	14,574	14,653	14,790	15,404	15,113	182,724
4320 Trash Removal	17,714	17,747	17,581	18,107	16,840	19,084	18,316	17,072	18,729	18,843	16,815	16,939	213,786
4330 Elevator Contract	4,311	4,002	4,116	4,117	3,847	4,290	4,101	3,871	4,081	4,011	4,342	3,811	48,899

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x. The hotel operates under a franchise agreement with Crestwood Inn, with a complimentary breakfast, indoor pool and 36 meeting rooms. The going-in capitalization rate of 6.04% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $316,000, representing a 5.7% increase over the prior year. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Operating expenses totaled $428,000 or approximately 43.76 per square foot, with real estate taxes representing the largest line item. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Leasing and Marketing

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. The hotel operates under a franchise agreement with Crestwood Inn, with a complimentary breakfast, indoor pool and 19 meeting rooms. Service requests are tracked through a work-order system with an average completion time of 33 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members.

Service requests are tracked through a work-order system with an average completion time of 18 hours. Collections for the period were 96.2% of billed charges, with bad debt of 3.3% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Operating Performance

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Operating expenses totaled $34,000 or approximately 31.09 per square foot, with real estate taxes representing the largest line item. The hotel operates under a franchise agreement with Crestwood Inn, with a complimentary breakfast, indoor pool and 11 meeting rooms.

Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Operating expenses totaled $74,000 or approximately 31.64 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.55% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

The hotel operates under a franchise agreement with Crestwood Inn, with a complimentary breakfast, indoor pool and 39 meeting rooms. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Collections for the period were 92.8% of billed charges, with bad debt of 7.9% of gross potential income.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Collections for the period were 96.2% of billed charges, with bad debt of 4.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members.

Valuation Discussion

Trailing twelve-month occupancy was 88.1% with an average daily rate of $117 and RevPAR indexing above the competitive set. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Crestwood Inn, with a complimentary breakfast, indoor pool and 9 meeting rooms. Operating expenses totaled $266,000 or approximately 29.08 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.73x on a trailing basis against a covenant minimum of 1.20x.

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Summary and Notes

Operating Performance

Debt service coverage ratio was 6.88x on a trailing basis against a covenant minimum of 1.20x. The hotel operates under a franchise agreement with Crestwood Inn, with a complimentary breakfast, indoor pool and 34 meeting rooms. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Effective gross income for the trailing period was $35,000, representing a 4.1% increase over the prior year. Operating expenses totaled $203,000 or approximately 30.76 per square foot, with real estate taxes representing the largest line item.

Effective gross income for the trailing period was $471,000, representing a 4.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. The going-in capitalization rate of 7.26% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Crestwood Inn, with a complimentary breakfast, indoor pool and 6 meeting rooms.

Property Operations

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 88.9% with an average daily rate of $117 and RevPAR indexing above the competitive set. Service requests are tracked through a work-order system with an average completion time of 44 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Trailing twelve-month occupancy was 89.1% with an average daily rate of $117 and RevPAR indexing above the competitive set. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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